

and preferential incentives, in the form of fiscal and financial benefits, were to flow to companies with sustainable business practices, powerful market drivers would emerge to support such endeavours of companies.

- The second issue relates to a theme I had discussed in my AGM Speech in 2007 on 'Making Markets work for CSR'. I had mentioned then that the most potent force that can trigger a complete rethink of corporate strategy and bring about transformational change lies in the power of the civil society. I am convinced that civil society, by exercising their consumer franchise in favour of sustainable enterprises, can unleash a powerful force of market incentives to reward sustainable practices. Consumer preference for such responsible conduct will translate the commitments and investments made in building societal capital into financial rewards.

An aware civil society can therefore drive the creation of a market for responsible sustainability practices. However, such a market can only come about through enhanced education and heightened awareness. Particularly, awareness of the power that civil society can wield as Responsible Consumers and Investors. For this to happen, a credible system of information must be made available to consumers so that they are able to make an informed and responsible choice.

Financial Auditors and Credit Rating Agencies evaluate companies on their financial strengths and make such information available so that investors are able to make informed choices. Similarly, it is important to create a system of measurement and rating to evaluate a company's ecological and social impact. These ratings could be displayed on products and services enabling civil society to make an informed choice in favour of companies that demonstrate sustainable business practices. I have, in the earlier AGM Speech, referred to these ratings as 'Trustmarks'.

By creating a market for responsible sustainability practices, a new paradigm of development can emerge with companies leading the effort to ensure a larger contribution to societal goals. This will progressively create higher stakeholder value by also making businesses more sustainable and societies more stable and inclusive. A beginning can be made by enlarging Corporate Governance codes requiring companies to make voluntary disclosures of their sustainability practices with reputed third party verification. Over time, this requirement can become mandatory for all companies beyond a



threshold size, irrespective of whether they are listed or not. This will bring about transparency and focus attention on the Triple Bottom Line performance of companies.

CREATING A BUSINESS FOR THE FUTURE

Many years ago, your Company took a conscious decision to voluntarily adopt practices that would enlarge its contribution to the nation. In the process we also fashioned corporate strategies that have built a new paradigm of competitiveness by synergising larger societal objectives in our business operations. This conscious strategy adopted by your Company to attain a leadership position in sustainable business practices have prepared us to decisively meet the challenges of tomorrow.

It therefore gives me immense pride in stating to you, once again, that ITC's exemplary sustainability initiatives continue to make it the only company in the world, of its size and diversity, to achieve the 3 major global environmental milestones of being "carbon positive", "water positive" and now "solid waste recycling positive". For seven years in a row, your Company has been a 'water positive' organisation, harvesting twice the rainwater potential than that consumed by its operations. ITC has also been 'carbon positive' for the last four years, sequestering twice the carbon it emits. In addition, your Company has contributed to the creation of sustainable livelihoods for over 5 million people, many of whom represent the weakest sections in rural India.

You can take justifiable pride that your Company is acknowledged as an exemplar in Triple Bottom Line performance. Many an international award has been bestowed on your Company for its outstanding record on sustainability practices. The Board of your Company is committed to making further progress in this direction. A sub-committee of the Board has been charged with the responsibility to provide strategic guidance to strengthen your Company's sustainability practices.

It is my belief that, by embedding larger sustainability goals in its business strategies, your Company has consciously invested in the future. A promising future, by creating competitive and sustainable businesses of tomorrow that will continue to enhance long-term Stakeholder Value.

I would like to take this opportunity to once again acknowledge the immense contribution made by the employees of your Company through their dedication and commitment.

On their behalf, I seek your continued support, as always.



ITC Limited
Enduring value

This is the complete text of Chairman Y. C. Deveshwar's speech. The 'video on demand' of the speech can be viewed at www.itcportal.com For a booklet of the speech, please write to the Corporate Communications Department, ITC Limited, Virginia House, 37 J. L. Nehru Road, Kolkata 700 071 or e-mail to ccd@itc.in